LEGISLATURE OF THE STATE OF IDAHO

Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 589

BY BERCH

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3024, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE IDAHO INCOME TAX RATE ON INDIVIDUALS, ESTATES, AND TRUSTS; REPEALING SECTION 63-3024, IDAHO CODE, RELATING TO THE IDAHO INCOME TAX RATE ON INDIVIDUALS, ESTATES, AND TRUSTS; AMENDING CHAPTER 30, TITLE 63, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 63-3024, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE IDAHO INCOME TAX RATE ON INDIVIDUALS, ESTATES, AND TRUSTS; AMENDING SECTION 63-3025, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE IDAHO INCOME TAX RATE ON CORPORATIONS; REPEALING SECTION 63-3025, IDAHO CODE, RELATING TO THE IDAHO INCOME TAX RATE ON CORPORATIONS; AMENDING CHAPTER 30, TITLE 63, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 63-3025, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE IDAHO INCOME TAX RATE ON CORPORATIONS; AND PROVIDING EFFECTIVE DATES.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3024, Idaho Code, be, and the same is hereby amended to read as follows:

63-3024. INDIVIDUALS' TAX AND TAX ON ESTATES AND TRUSTS. (1) For each taxable year, a tax measured by Idaho taxable income as defined in this chapter is hereby imposed upon every individual, trust, or estate required by this chapter to file a return.

(2)(a) The tax imposed upon individuals, trusts, and estates shall be computed at the rate of ~~five and three-tenths percent (5.3%)~~ <u>five and six hundred ninety-five thousandths percent (5.695%)</u> of taxable income over two thousand five hundred dollars ($2,500).

(b) For taxpayers filing a joint return pursuant to the provisions of section 63-3031, Idaho Code, the tax imposed shall be computed at the rate of ~~five and three-tenths percent (5.3%)~~ <u>five and six hundred ninety-five thousandths percent (5.695%)</u> of taxable income over five thousand dollars ($5,000). For the purposes of this section, a return of a surviving spouse, as defined in section 2(a) of the Internal Revenue Code, and a head of household, as defined in section 2(b) of the Internal Revenue Code, shall be treated as a joint return.

(3) For taxable year 2000 and each year thereafter, the state tax commission shall prescribe a factor that shall be used to compute the Idaho income tax thresholds provided in subsection (2) of this section. The factor shall provide an adjustment to the Idaho tax thresholds so that inflation will not result in a tax increase. The Idaho tax thresholds shall be adjusted as follows: multiply the last threshold amount by the percentage (the consumer price index for the calendar year immediately preceding the calendar year to which the adjusted threshold amount will apply divided by the consumer price index for calendar year 1998). For the purpose of this computa-

tion, the consumer price index for any calendar year is the average of the consumer price index as of the close of the twelve (12) month period for the immediately preceding calendar year, without regard to any subsequent adjustments, as adopted by the state tax commission. This adoption shall be exempt from the provisions of chapter 52, title 67, Idaho Code. The consumer price index shall mean the consumer price index for all U.S. urban consumers published by the United States department of labor. The state tax commission shall annually include the factor as provided in this subsection to multiply against Idaho taxable income using the thresholds in this section to arrive at that year's Idaho taxable income for tax threshold purposes.

(4) In the case of a trust that is an electing small business trust as defined in section 1361 of the Internal Revenue Code, the special rules for taxation of such trusts contained in section 641 of the Internal Revenue Code shall apply, except that the individual rate provided in subsection (2)(a) of this section shall apply in computing tax due under this chapter.

(5) The state tax commission may promulgate rules defining the conditions upon which such returns shall be filed.

SECTION 2. That Section 63-3024, Idaho Code, be, and the same is hereby repealed.

SECTION 3. That Chapter 30, Title 63, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 63-3024, Idaho Code, and to read as follows:

63-3024. INDIVIDUALS' TAX AND TAX ON ESTATES AND TRUSTS. (1) For each taxable year, a tax measured by Idaho taxable income as defined in this chapter is hereby imposed on every individual, trust, or estate required by this chapter to file a return.

(2)(a) The tax imposed on individuals, trusts, and estates shall be computed at the rate of five and three-tenths percent (5.3%) of taxable income over two thousand five hundred dollars ($2,500).

(b) For taxpayers filing a joint return pursuant to the provisions of section 63-3031, Idaho Code, the tax imposed shall be computed at the rate of five and three-tenths percent (5.3%) of taxable income over five thousand dollars ($5,000). For the purposes of this section, a return of a surviving spouse, as defined in section 2(a) of the Internal Revenue Code, and a head of household, as defined in section 2(b) of the Internal Revenue Code, shall be treated as a joint return.

(3) For taxable year 2000 and each year thereafter, the state tax commission shall prescribe a factor that shall be used to compute the Idaho income tax thresholds provided in subsection (2) of this section. The factor shall provide an adjustment to the Idaho tax thresholds so that inflation will not result in a tax increase. The Idaho tax thresholds shall be adjusted as follows: multiply the last threshold amount by the percentage (the consumer price index for the calendar year immediately preceding the calendar year to which the adjusted threshold amount will apply divided by the consumer price index for calendar year 1998). For the purpose of this computation, the consumer price index for any calendar year is the average of the consumer price index as of the close of the twelve (12) month period for the immediately preceding calendar year, without regard to any subsequent ad-

justments, as adopted by the state tax commission. This adoption shall be exempt from the provisions of chapter 52, title 67, Idaho Code. The consumer price index shall mean the consumer price index for all U.S. urban consumers published by the United States department of labor. The state tax commission shall annually include the factor as provided in this subsection to multiply against Idaho taxable income using the thresholds in this section to arrive at that year's Idaho taxable income for tax threshold purposes.

(4) In the case of a trust that is an electing small business trust as defined in section 1361 of the Internal Revenue Code, the special rules for taxation of such trusts contained in section 641 of the Internal Revenue Code shall apply, except that the individual rate provided in subsection (2)(a) of this section shall apply in computing tax due under this chapter.

(5) The state tax commission may promulgate rules defining the conditions upon which such returns shall be filed.

SECTION 4. That Section 63-3025, Idaho Code, be, and the same is hereby amended to read as follows:

63-3025. TAX ON CORPORATE INCOME. (1) For each taxable year, a tax is hereby imposed on the Idaho taxable income of a corporation, other than an S corporation, that transacts or is authorized to transact business in this state or has income attributable to this state. The tax rate imposed by this section shall be as follows:

(a) For each taxable year, commencing on and after January 1, 2001, the tax imposed by this section shall be equal to seven and six-tenths percent (7.6%) of Idaho taxable income.

(b) For each taxable year, commencing on and after January 1, 2012, the tax imposed by this section is changed and shall be equal to seven and four-tenths percent (7.4%) of Idaho taxable income.

(c) For each taxable year, commencing on and after January 1, 2018, the tax imposed by this section is changed and shall be equal to six and nine hundred twenty-five thousandths percent (6.925%) of Idaho taxable income.

(d) For each taxable year, commencing on and after January 1, 2021, the tax imposed by this section is changed and shall be equal to six and five-tenths percent (6.5%) of Idaho taxable income.

(e) For each taxable year, commencing on and after January 1, 2022, the tax imposed by this section is changed and shall be equal to six percent (6%) of Idaho taxable income.

(f) For each taxable year, commencing on and after January 1, 2023, the tax imposed by this section is changed and shall be equal to five and eight-tenths percent (5.8%) of Idaho taxable income.

(g) For each taxable year, commencing on and after January 1, 2024, the tax imposed by this section is changed and shall be equal to five and six hundred ninety-five thousandths percent (5.695%) of Idaho taxable income.

~~(h) For each taxable year, commencing on and after January 1, 2025, the tax imposed by this section is changed and shall be equal to five and three-tenths percent (5.3%) of Idaho taxable income.~~

(2) In the case of an S corporation that is required to file a return under section 63-3030, Idaho Code, a tax is hereby imposed at the rate provided in subsection (1) of this section upon both:

(a) Net recognized built-in gain attributable to this state. The amount of net recognized built-in gain attributable to this state shall be computed in accordance with section 1374 of the Internal Revenue Code subject to the apportionment and allocation provisions of section 63-3027, Idaho Code; and

(b) Excess net passive income attributable to this state. The amount of excess net passive income attributable to this state shall be computed in accordance with section 1375 of the Internal Revenue Code subject to the apportionment and allocation provisions of section 63-3027, Idaho Code.

(3) The tax imposed by subsection (1) or (2) of this section shall not be less than twenty dollars ($20.00); provided that the twenty-dollar ($20.00) minimum payment shall not be collected from nonproductive mining corporations.

(4) The tax imposed by this section shall not apply to corporations taxed pursuant to the provisions of section 63-3025A, Idaho Code.

SECTION 5. That Section 63-3025, Idaho Code, be, and the same is hereby repealed.

SECTION 6. That Chapter 30, Title 63, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 63-3025, Idaho Code, and to read as follows:

63-3025. TAX ON CORPORATE INCOME. (1) For each taxable year, a tax is hereby imposed on the Idaho taxable income of a corporation, other than an S corporation, that transacts or is authorized to transact business in this state or has income attributable to this state. The tax rate imposed by this section shall be as follows:

(a) For each taxable year, commencing on and after January 1, 2001, the tax imposed by this section shall be equal to seven and six-tenths percent (7.6%) of Idaho taxable income.

(b) For each taxable year, commencing on and after January 1, 2012, the tax imposed by this section is changed and shall be equal to seven and four-tenths percent (7.4%) of Idaho taxable income.

(c) For each taxable year, commencing on and after January 1, 2018, the tax imposed by this section is changed and shall be equal to six and nine hundred twenty-five thousandths percent (6.925%) of Idaho taxable income.

(d) For each taxable year, commencing on and after January 1, 2021, the tax imposed by this section is changed and shall be equal to six and five-tenths percent (6.5%) of Idaho taxable income.

(e) For each taxable year, commencing on and after January 1, 2022, the tax imposed by this section is changed and shall be equal to six percent (6%) of Idaho taxable income.

(f) For each taxable year, commencing on and after January 1, 2023, the tax imposed by this section is changed and shall be equal to five and eight-tenths percent (5.8%) of Idaho taxable income.

(g) For each taxable year, commencing on and after January 1, 2024, the tax imposed by this section is changed and shall be equal to five and six hundred ninety-five thousandths percent (5.695%) of Idaho taxable income.

(h) For each taxable year, commencing on and after January 1, 2025, the tax imposed by this section is changed and shall be equal to five and three-tenths percent (5.3%) of Idaho taxable income.

(i) For each taxable year, commencing on and after January 1, 2027, the tax imposed by this section is changed and shall be equal to five and six hundred ninety-five thousandths percent (5.695%) of Idaho taxable income.

(j) For each taxable year, commencing on and after January 1, 2028, the tax imposed by this section is changed and shall be equal to five and three-tenths percent (5.3%) of Idaho taxable income.

(2) In the case of an S corporation that is required to file a return under section 63-3030, Idaho Code, a tax is hereby imposed at the rate provided in subsection (1) of this section on both:

(a) Net recognized built-in gain attributable to this state. The amount of net recognized built-in gain attributable to this state shall be computed in accordance with section 1374 of the Internal Revenue Code subject to the apportionment and allocation provisions of section 63-3027, Idaho Code; and

(b) Excess net passive income attributable to this state. The amount of excess net passive income attributable to this state shall be computed in accordance with section 1375 of the Internal Revenue Code subject to the apportionment and allocation provisions of section 63-3027, Idaho Code.

(3) The tax imposed by subsection (1) or (2) of this section shall not be less than twenty dollars ($20.00); provided that the twenty-dollar ($20.00) minimum payment shall not be collected from nonproductive mining corporations.

(4) The tax imposed by this section shall not apply to corporations taxed pursuant to the provisions of section 63-3025A, Idaho Code.

SECTION 7. Sections 1 and 4 of this act shall be in full force on and after January 1, 2027, and Sections 2, 3, 5, and 6 of this act shall be in full force and effect on and after January 1, 2028.